



ILLUSTRATION BY RAJ VERMA



It is time for the government to consider introducing new taxes—[including] one on wealth

for building houses, accessing tap water, 24x7 electricity and gas/solar cooking hob/stove, and full-scale health services/insurance. All other subsidies and freebies should be converted into cash payments, linked only to specified outcomes.

The government must also undertake investments and programmes to help India transition to low-carbon technologies to become a net-zero country much before 2070.

REVENUE SIDE

India currently finances only about 60% of its expenditures from rev-

enues. In addition, the government has also been depriving states of their due share of central taxes.

To raise resources, the government must make the exemption-less option in both corporation tax and personal income tax the only mode of taxation. The 15% tax regime for new manufacturing companies should be done away with. Personal income tax slabs should be rationalised by raising the minimum threshold to ₹7.5 lakh and the 30% slab to ₹30 lakh.

It is time for the government to consider introducing new taxes—one on wealth with real estate,

financial assets, and jewellery assets, including the increase in valuation during a year—at a small rate of 3-5%. It should also bring a law to tax pollutants and carbon emissions on a negative value-added basis.

The privatisation and disinvestment agenda, which was completely grounded in the second term, needs to be resuscitated in a big way. The government must keep only a few public sector leaders—like SBI, NTPC, PowerGrid, and ONGC with its subsidiary HPCL and GAIL—under a professional sovereign asset management company and sell the rest.

To be fair to the states, the government should discontinue extensive cesses and surcharges on petroleum products, income taxes, and customs duty. The share of states in gross tax receipts should be taken close to 41%.

FISCAL DEFICIT

India cannot sustain public debt-funded expenditures to attain doubtful growth, as such growth tends to be short-term and results in the bubble bursting in a few years.

The NDA government ran a humongous fiscal deficit in its second term of over 6% of GDP on average. The government has a fiscal deficit consolidation goal of 4.5% by FY26. This goal should be reduced to 3% of GDP, to be achieved by FY29.

The road to a high-income India by 2050 is not going to be easy. A Budget re-focussed on the priorities suggested above will surely lay the foundation. **BT**

The author is former Finance Secretary and observer of economic policy. Views are personal